MONEYRULES SERIES

ISA vs SIPP

The UK Investor's Complete Comparison

Flexibility, tax relief, lock-ins and limits
— explained so you pick correctly first time.

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1. Introduction — Why the UK's Two Tax Wrappers Matter

The UK government offers two powerful tax shelters for long-term investing: Individual Savings Accounts (ISAs) and Self-Invested Personal Pensions (SIPPs). If you're not using at least one, you're handing HMRC money you don't need to.

> Every pound outside these wrappers pays tax twice:
> income tax on earnings + capital gains tax on growth.

2. ISA: The Flexible Tax-Free Account

An ISA is a container. Whatever you put inside grows tax-free — no income tax on dividends, no capital gains tax on growth, no tax on withdrawal. Ever.

2026 allowance: £20,000 per adult per tax year (6 April – 5 April). Couples can shelter £40,000 combined annually.

ISA Types

Type	Purpose	Notes
Cash ISA	Savings (bank-like)	4-5% rates in 2026
Stocks & Shares ISA	Investing	Most flexible for long-term growth
Lifetime ISA (LISA)	First home or retirement	25% govt bonus, age 18-39 only
Innovative Finance ISA	P2P lending	Higher risk, usually avoid

3. SIPP: The Pension Tax Turbocharger

A Self-Invested Personal Pension is a DIY pension. Every contribution receives tax relief from HMRC — effectively a 20%, 40% or 45% top-up depending on your tax band.

2026 annual allowance: £60,000 or 100% of earnings (whichever is lower). Money is locked in until age 57 (rising to 58 by 2028).

How the Tax Relief Works

Tax Band	Your Contribution	HMRC Tops Up	In Your SIPP
Basic-rate (20%)	£80	£20	£100
Higher-rate (40%)	£60	£40	£100
Additional (45%)	£55	£45	£100

> A higher-rate taxpayer gets £40 of free money
> for every £60 they put into a SIPP.

4. Head-to-Head Comparison

Feature	ISA	SIPP
Annual allowance	£20,000	£60,000 (or 100% earnings)
Tax relief on deposit	None	20/40/45% top-up
Tax on growth	None	None
Tax on withdrawal	None	25% tax-free, rest at your income tax rate
Access age	Any time	57+
Inheritance	Part of estate	Usually outside estate

5. Which to Use When — 5 Life Scenarios

Young professional (20s-30s)

Max LISA first (£4,000/yr = £1,000 free bonus), then ISA. Start a small SIPP once higher-rate tax kicks in.

Higher-rate taxpayer

SIPP first, hard. The 40% tax relief is uniquely powerful — more than makes up for the age lock.

Saving for a house

LISA + cash ISA combo. LISA bonus = 25% free money on up to £4,000/yr towards a first home.

Near retirement (50s-60s)

Mix both. SIPP for the tax relief on what's left of your career; ISA for flexibility in early retirement.

Self-employed

SIPP is especially valuable — no employer pension means no workplace contributions, so DIY matters more.

6. The LISA and Other Special Cases

The Lifetime ISA (LISA) deserves its own section. It combines ISA tax-free growth with a 25% government bonus on contributions up to £4,000/year.

- Must open between age 18-39.
- Maximum contribution £4,000/year.
- Government adds 25% bonus — £1,000/year free.
- Money can be used for first home purchase OR from age 60 onwards.
- Early withdrawal for any other reason = 25% penalty (loses your bonus + more).
- Counts against your £20,000 ISA allowance.

> If you're under 40 and buying your first home,
> the LISA is almost always your best move FIRST.

7. Tax Reliefs Worked Through with Numbers

Consider Alice, a higher-rate taxpayer who wants to invest £500/month for 25 years at 7% return:

Wrapper	Her £ Contribution	Effective £ Invested	Final Value	Net After Tax
No wrapper	£150,000	£150,000	£394,000	~£316,000 (after CGT)
ISA	£150,000	£150,000	£394,000	£394,000 (tax-free)
SIPP	£150,000	£250,000	£658,000	~£542,000 (after pension tax)

SIPP wins by ~£148,000 vs ISA in this scenario purely from the 40% tax relief compounding over 25 years. But that money is locked until 57.

8. Your Action Plan

1. Day 1: Check your tax band — basic, higher, or additional.
2. Day 2: Open a Stocks & Shares ISA at a low-cost broker (Vanguard, InvestEngine, AJ Bell).
3. Day 3: If under 40 and saving for a home — open a LISA.
4. Day 4: If higher-rate taxpayer — open a SIPP alongside the ISA.
5. Day 5: Set up direct debits to both, split based on your goals.
6. Day 6: Choose global index funds (VWRL, VUSA, or FTSE Global All Cap).
7. Day 7: Leave it alone. Decades of compounding > any clever trading.

Visit www.incomeonline.info for 199+ ways to grow the income side of your equation — extra income = extra ISA/SIPP contributions = exponential long-term wealth.

Thank you for reading.

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